Reform or Revolution: Elites' Choices under Negative Shocks and the Economic Outcomes

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Abstract

Political elites have the ability to establish institutions that secure their political and economic resources (Acemoglu et al., 2008). When external shocks threaten their interests, they can respond in one of two ways: reform or revolution. Reform involves making improvements within the existing system, offering gradual returns with lower costs and manageable risks. Revolution, by contrast, is a radical overthrow of the current system, characterized by high risks and costs but potentially substantial rewards if successful. However, there has been little research on what drives political elites to choose between these two paths.

This study focuses on the *jinshi* class of the Qing dynasty, a group of young political elites who had passed the highest level of the imperial civil examination and were about to embark on official careers. By constructing a database of *jinshi* from 1878 to 1905, I analyze how those influenced by the intense debate over China's political future—triggered by the defeat in the First Sino-Japanese War (1894–1895) and the signing of the Treaty of Shimonoseki—chose between reform and revolution and the economic consequences of their choices. Under the leadership of Kang Youwei and Liang Qichao, the reformist opinion leaders launched the Hundred Days' Reform in 1898, a comprehensive political reform movement advocating for introducing Western-style education, encouraging private enterprises, adopting Western military training systems, and issuing newspapers. In contrast, the revolutionary leader Sun Yat-sen founded the revolutionary party Revive China Society (*Xingzhonghui*, 1894) and initiated the Guangzhou Uprising (1895), and articulated his goals as "expelling the Manchu oppressors, restoring China, establishing a republic, and equalizing land ownership" (1895). This paper seeks to address the following questions: How did *jinshi*, the young political elites, faced with the immense challenges of a declining nation, choose between reform and revolution? And what economic consequences did these choices entail?

Using prefecture-year-level data and a difference-in-differences methodology, I find that after 1894, for every 1% increase in the number of affected *jinshi* from a prefecture, 1.5%–2.9% more modern firms were established in that prefecture compared to others as shown in Table 1. To address potential biases from local economic development, I introduced a series of control variables and conducted robustness checks, including excluding prefectures with treaty ports in Table 2. The results remained consistent with the baseline analysis. Furthermore, during the 1911 Xinhai Revolution, which led to the collapse of the Qing dynasty, these affected *jinshi*'s home prefectures experienced fewer rebellions than others and did not produce significantly more revolutionaries in Table 3.

These findings suggest that, while the affected *jinshi* recognized the nation's decline, they avoided destructive decisions. Instead, they pursued reformist strategies, such as fostering economic development, to protect their interests. A striking example is Zhang Jian, one of the most prominent political elites of the era, who was named the *zhuangyuan* (top-ranked *jinshi*) in 1894. Entrusted by

the government, Zhang adopted commercial and market-oriented approaches, founding four influential textile factories in his hometown. Mao Zedong, the leader of the Chinese Communist Party, once remarked when discussing China's industrial development, "When considering the development of China's light industry, people cannot forget Zhang Jian of Haimen", highlighting the profound impact of these political elites' reformist efforts during the transformative period (1895-1911).

References

Acemoglu, D., & Robinson, J. A. (2008). Persistence of Power, Elites, and Institutions. American Economic Review, 98(1), 267-293.

Tables

Table 1: The Effect of Influenced *Jinshi* on Their Hometown's Firm Establishment

	(1)	(2)	(3)
VARIABLES	Log of Firm Number / Population in 1880		
Jinshi (1894-1898) X Post 1894	0.029**	0.026**	0.015*
	(0.012)	(0.011)	(0.007)
Observations	7,902	7,902	7,902
R-squared	0.237	0.322	0.341
Prefecture FE	Yes	Yes	Yes
Year FE	Yes	Yes	Yes
Province-Specific Trends	No	Yes	Yes
Controls	No	No	Yes

Notes: The dependent variables are the logged number of firms normalized by population in 1880. The independent variable is the logged number of *jinshi* granted between 1894-1989 (normalized by population in 1880). Post 1894 is a dummy indicating whether the year was after 1894. Control variables are post 1894 dummy times the time-invariant prefectural characteristics, including treaty port dummy, distance to Beijing, great canal dummy, distance to coast, river length, civil conflicts number, population density in 1880, provincial capital dummy. Robust standard errors in parentheses. *** p<0.01, ** p<0.05, * p<0.1.

Table 2: Robustness Check of Dropping Treaty Port Prefectures

	(1)	(2)	(3)
VARIABLES	Log of Firm Number / Population in 1880		
Jinshi (1894-1898) X Post 1894	0.030**	0.028**	0.013**
	(0.012)	(0.012)	(0.006)
Observations	7,834	7,834	7,834
R-squared	0.159	0.243	0.264
Prefecture FE	Yes	Yes	Yes
Year FE	Yes	Yes	Yes
Province-Specific Trends	No	No	No
Controls	No	No	No

Notes: The dependent variables are the logged number of firms normalized by population in 1880. The independent variable is the logged number of *jinshi* granted between 1894-1989 (normalized by population in 1880). Post 1894 is a dummy indicating whether the year was after 1894. Control variables are post 1894 dummy times the time-invariant prefectural characteristics, including treaty port dummy, distance to Beijing, great canal dummy, distance to coast, river length, civil conflicts number, population density in 1880, provincial capital dummy. Robust standard errors in parentheses. *** p<0.01, ** p<0.05, * p<0.1.

Table 3: The Effect of Influenced *Jinshi* on Their Hometown's Political Consequences

VARIABLES	(1) Number of revolutionaries	(2) Incidence of early uprisings in 1911	(3) Newspapers in 1911
Jinshi (1894-1898)	-15.816	-1.441**	2.006*
	(10.057)	(0.631)	(1.015)
Observations	232	232	234
R-squared	0.303	0.103	0.465
Prefecture FE	Yes	Yes	Yes
Year FE	Yes	Yes	Yes
Province-Specific Trends	Yes	Yes	Yes
Controls	Yes	Yes	Yes

Notes: The dependent variables are indicators of political consequences, including the number of revolutionaries, the incidence of early uprising in 1911, and whether there were any newspapers published in 1911. The independent variable is the logged number of *jinshi* granted between 1894-1989 (normalized by population in 1880). Control variables include treaty port dummy, distance to Beijing, great canal dummy, distance to coast, river length, civil conflicts number, population density in 1880, provincial capital dummy. Robust standard errors in parentheses. *** p<0.01, ** p<0.05, * p<0.1.